

ways supports a *selective* prosperity during the transition from inflation to deflation, since the sectors of the economy that benefit from inflation, such as farms and oil companies, find themselves in a relatively depressed state. The prosperity in a plateau is built largely on a rise in the value of investments, a fragile base and one that allows for the swift transition to depression when those values collapse in a wave of deflation. Because the plateau phase began in 1982, a typical duration would have it ending in the early to mid-1990s. That is where we are today. The next phase is the last one in the cycle: deflation, debt liquidation and depression, just as occurred in the 1840s-1850s, the 1890s, and the 1930s-1940s. Figure B-3 shows how inflation-adjusted stock prices have fit into the last one and a half cycles.

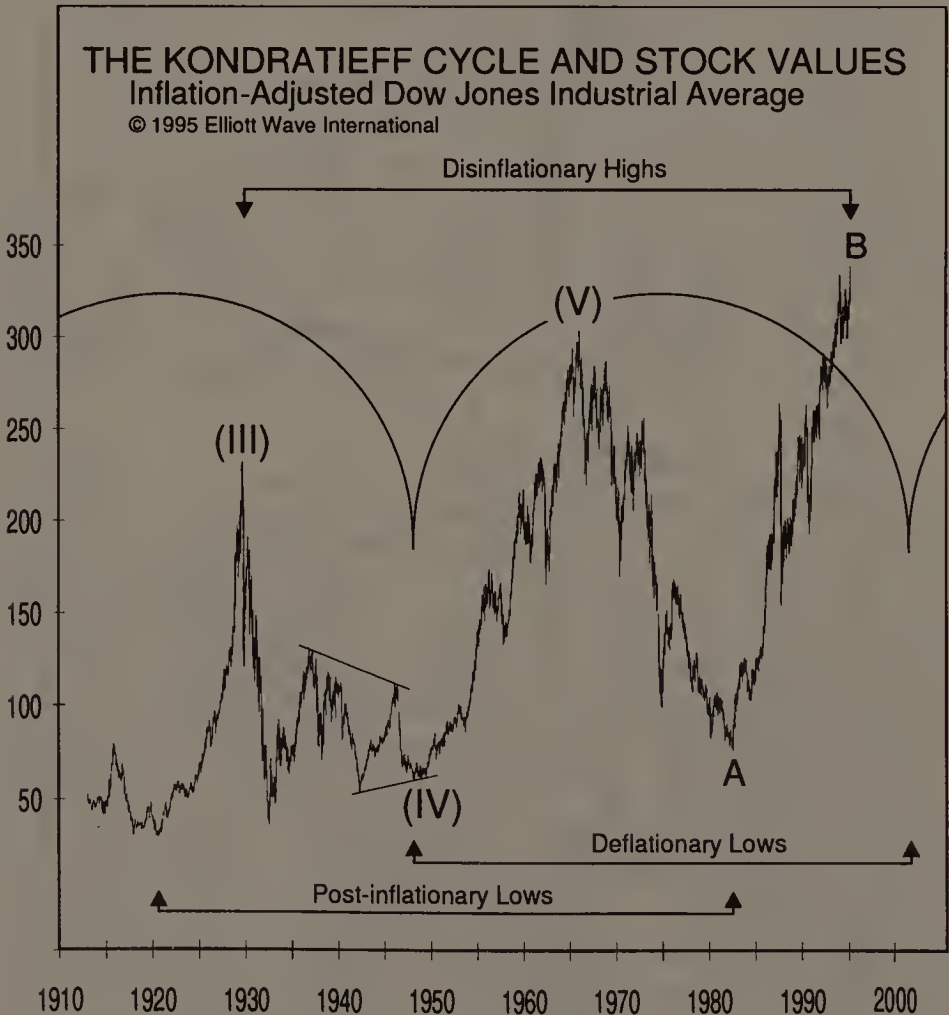


Figure B-3